

FORM TP 2015107



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MAY/JUNE 2015

CARIBBEAN EXAMINATIONS COUNCIL

**CARIBBEAN SECONDARY EDUCATION CERTIFICATE®
EXAMINATION**

PRINCIPLES OF BUSINESS

Paper 032 – General Proficiency

1 hour 15 minutes

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. You **MUST** use this answer booklet when responding to the questions. For **EACH** question, write your answer in the space provided and return the answer booklet at the end of the examination.
2. Use the **CASE STUDY** to answer the questions.
3. Answer **ALL** questions.
4. Do **NOT** write in the margins
5. You are advised to take some time to read through the paper and plan your answer.
6. If you need to rewrite any answer and there is not enough space to do so on the original page, you must use the extra lined page(s) provided at the back of this booklet. **Remember to draw a line through your original answer.**
7. If you use the extra page(s) you **MUST** write the question number clearly in the box provided at the top of the extra page(s) and, where relevant, include the question part beside the answer.

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO.

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INSTRUCTIONS: The following case study contains information for a business plan. Read the case study and answer the questions that follow.

CASE STUDY

Poplen Iron Works

SECTION A

Ford Poplen started his metal craft business two years ago in a shed at the back of his parent's home, located in a strictly residential community. He produces and sells a variety of metal furniture, grills and gates. However, handcrafted metal souvenir items are his unique designs. He is thinking of registering his business, but he has not been keeping proper accounting records. He decided to employ a part-time accountant to organize his finances and ensure that he is meeting his tax obligations. He will also employ a finisher and a painter. He had to relocate his business because his neighbours complained about the noise and constant smell of paint coming from the shed. The new location is in a commercial district where he pays a fixed amount which covers rent, utilities and the use of equipment.

Complete the following business plan using information from the case.

OPERATIONAL PLAN

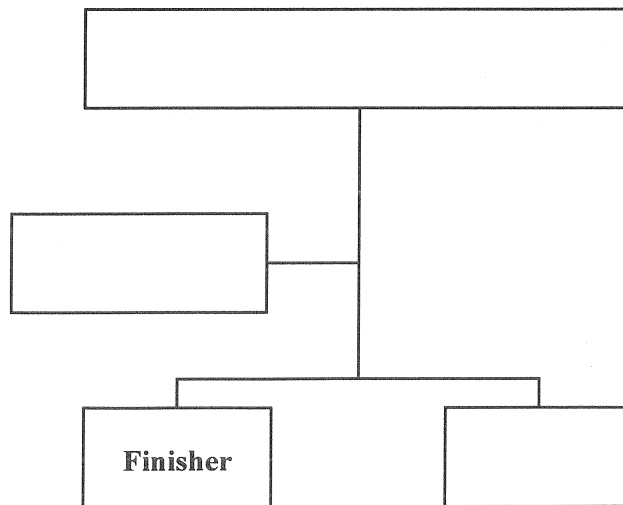
1. Nature and Type of Business

Identify the kind of business based on the type of ownership.

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(1 mark)

2. Internal Structure of the Organization

Complete the following organizational chart showing the structure of Poplen Iron Works.



(3 marks)

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3. Management Functions

- (a) Cite ONE piece of evidence from the case to show how Ford Poplen demonstrated his responsibility to EACH of the following:

(i) Society

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.....
(1 mark)

(ii) Government

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.....
(1 mark)

- (b) Describe how Ford Poplen has executed the management function of 'organizing'.

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(2 marks)

4. Ethical Issues

State TWO unethical business practices in which Poplen Iron Works was involved.

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(2 marks)

Total 10 marks

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SECTION B

Ford Poplen is happy that all his retail and wholesale customers are satisfied with the finish and durability of the products. He produces for the tourist market, but he was told by the president of the local Small Producers' Association that in order to succeed, he needed to have a more distinctive brand, one that would be linked to the country. He has been working on items for an art display to appeal to art dealers. He is not worried about competition from the four other craft producers because he is the only one who works with metals. He is presently using his private car to make deliveries and is hoping to buy a van that he can brand and use to pick up raw materials and make deliveries. He presently supplies only local customers but has set up a website to test the potential for exports.

MARKETING PLAN

5. Marketing

Outline TWO reasons why Poplen Iron Works may not be making as much sales as it could.

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(4 marks)

6. Competition

Identify TWO competitors of Poplen Iron Works.

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(2 marks)

7. Outline TWO advantages that Poplen Iron Works is **LIKELY** to have over its competitors.

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(4 marks)

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8. Target Market

Identify TWO groups of potential customers of Poplen Iron Works.

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(2 marks)

9. Promotional Strategies

Describe ONE promotional strategy that could help the firm to increase its sales.

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(3 marks)

10. Distribution Strategies

(a) State TWO ways in which the firm can distribute its products to its market.

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(2 marks)

(b) Explain ONE advantage of branding the products made by Poplen Iron Works.

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(3 marks)

Total 20 marks

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SECTION C

The business appears to be doing well but has a cash-flow problem. The country is facing a recession and most of Ford Poplen's clients are operators of flower and gift shops who want 30 days credit. Mr Poplen is badly in need of a loan to cover the purchase of raw materials and give him some ease while he waits on his debtors. He wants to attract customers who can pay immediately. If his business does well, he plans to employ more persons and may even venture into the export market. However, he is now realizing that loans from the credit union and his small savings are not enough to expand the business.

FINANCIAL PLAN

11. Sources of Finance

- (a) List TWO sources from which Poplen Iron Works obtained capital to expand the business.

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(2 marks)

- (b) State TWO reasons why Poplen Iron Works may be having a cash-flow problem.

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(2 marks)



12. Government Regulations

Outline ONE way in which Poplen Iron Works can contribute to the growth and development of the economy.

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(2 marks)

13. Identify TWO government regulations to which Poplen Iron Works must adhere.

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(2 marks)

14. Executive Summary

Write a summary of the business, including information from the three sections of the business plan.

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(2 marks)

Total 10 marks

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.



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